

Easing prices: on the inflation data

Inflation is falling, but the **unpredictability** factor is high now

The inflation data for May show just how much can change in one month. **Retail inflation** came in at a 75-month low of 2.8% in May, with **easing** food prices the main reason behind this fall. **Wholesale inflation**, too, **slowed** to just 0.4%, the lowest in more than a year. The primary **driver** here, apart from falling food prices, **was** a **drastic contraction** of 12.4% in crude oil and natural gas prices. An **oversupply** of oil and a slowing global economy **had** meant that the months **leading up to** May had seen oil prices fall **considerably**. With India importing about 80% of its oil requirement, this **eventually** translated into lower wholesale inflation in the country. The Reserve Bank of India (RBI) had, in its monetary policy announcement on June 11, **predicted** that inflation for the year would come in at an average of 3.7%, down from its **forecast** of 4% in April. According to some **analysts**, retail inflation in June could come in as low as 2% — the lower end of the RBI's comfort **band** since current factors impact the data with a **considerable lag**. Overall, the **feeling** until not too long ago **was** that inflation would continue to ease. But then Israel attacked Iran, and the monsoon's progress across the country slowed, both **developments** that are likely to affect the two key factors, fuel and food, that had, until now, **led to** the fall in overall inflation.

Oil prices jumped as much as 8% in a single day **following** Israel's attack on Iran on June 13. The Hindu had, last week, reported that an **escalation** of tensions between the two countries and a **resultant** blockage of the **vital** Strait of Hormuz **could result in** a 40%-50% increase in shipping costs for Indian exports and imports, and could impact India's oil supplies from key sources such as Iraq, Saudi Arabia and the United Arab Emirates. This is not an **unlikely eventuality**, either, with Commerce Ministry officials **set to** hold a meeting this week with trade and shipping sector **stakeholders** to discuss how the government can ease their **distress**. **Costlier inputs**, especially oil, **will** eventually **move** the inflation **needle** back up. The monsoon has picked up **pace** again, according to India Meteorological Department officials, but it's still early days. In the past, even though the overall monsoon has been satisfactory, its **uneven spatial** distribution has left several agricultural areas **parched**. It is **far from** certain that food prices will continue their downward **trajectory**. In its last monetary policy meeting, the RBI shifted its **stance** to '**neutral**', indicating that it was as ready to raise interest rates as it was to cut them. This was **prescient**, as the last few weeks have shown just how **nimble** monetary policy has to be in these increasingly unpredictable times. [Practice Exercise]

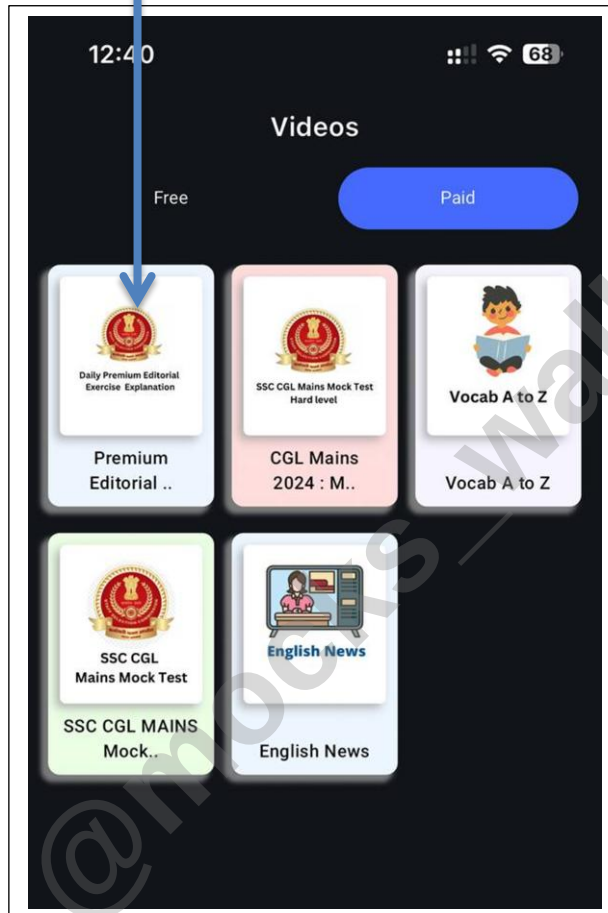
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Inflation** (noun) – a general increase in prices and fall in the purchasing value of money मुद्रास्फीति
2. **Unpredictability** (noun) – uncertainty, volatility, instability, inconsistency, randomness अनिश्चितता
3. **Retail inflation** (noun) – measures the rate at which the prices of goods and services purchased by consumers for personal use increase or decrease over time खुदरा मुद्रास्फीति
4. **Wholesale inflation** (noun) – the increase in the average price of goods at the wholesale level थोक मूल्य वृद्धि
5. **Driver** (noun) – cause, factor, stimulus, motivator, contributor प्रेरक तत्व / कारण
6. **Drastic** (adjective) – extreme, severe, radical, intense, strong तीव्र
7. **Contraction** (noun) – reduction, shrinkage, decline, downturn, cutback कमी
8. **Lead up to** (phrase) – precede, result in, culminate in, bring about, pave the way for की ओर ले जाना
9. **Considerably** (adverb) – significantly, greatly, markedly, notably, substantially काफी हद तक
10. **Eventually** (adverb) – finally, ultimately, in the end, sooner or later, at last अंततः
11. **Predict** (verb) – forecast, anticipate, project, estimate, foresee भविष्यवाणी करना
12. **Forecast** (noun) – prediction, projection, estimate, outlook, prognosis पूर्वानुमान
13. **Analyst** (noun) – expert, researcher, economist, advisor, evaluator विश्लेषक
14. **Band** (noun) – range, bracket, spectrum, limit, scope सीमा / दायरा
15. **Considerable** (adjective) – significant, substantial, important, noteworthy, marked काफी
16. **Lag** (noun) – delay, gap, latency, interval, postponement विलंब
17. **Development** (noun) – event, occurrence, incident, happening, progress घटनाक्रम
18. **Lead** (to) (verb) – cause, result in, bring about, give rise to, provoke परिणाम देना
19. **Following** (preposition) – after, subsequent to, ensuing, in the wake of के बाद
20. **Escalation** (noun) – intensification, aggravation, increase, amplification, surge वृद्धि / तनाव बढ़ना
21. **Resultant** (adjective) – resulting, consequent, ensuing, consequential परिणामी

22. **Vital** (adjective) – crucial, essential, necessary, critical, indispensable
अत्यावश्यक
23. **Result in** (phrasal verb) – lead to, cause, bring about, produce, culminate in का परिणाम होना
24. **Unlikely** (adjective) – improbable, doubtful, questionable, implausible, uncertain असंभाव्य
25. **Eventuality** (noun) – possibility, outcome, contingency, consequence, chance
संभावित स्थिति
26. **Set** (to) (verb) – ready to, prepared to, likely to, about to, arranged to तय होना / होने वाला
27. **Stakeholder** (noun) – participant, contributor, party, investor, concerned group हितधारक
28. **Distress** (noun) – suffering, hardship, difficulty, discomfort, trouble संकट
29. **Move the needle** (phrase) – To cause a noticeable change in something प्रभाव डालना
30. **Pace** (noun) – speed, rate, tempo, momentum, progress गति
31. **Uneven** (adjective) – irregular, patchy, inconsistent, lopsided, unequal असमान
32. **Spatial** (adjective) – locational, geographical, areal, distributional, positional स्थानिक
33. **Parched** (adjective) – dry, dehydrated, scorched, arid, withered सूखा
34. **Far from** (phrase) – not at all, nowhere near, completely opposite, anything but, not close to बिल्कुल नहीं
35. **Trajectory** (noun) – path, course, direction, trend, route प्रक्षेपवक्र / दिशा
36. **Neutral stance** (noun) – it indicates that the RBI maintains flexibility in adjusting policy rates based on prevailing economic conditions.
37. **Prescient** (adjective) – foresighted, visionary, prophetic, intuitive, insightful दूरदर्शी
38. **Nimble** (adjective) – agile, quick, responsive, adaptive, flexible फुर्तीला / चपल

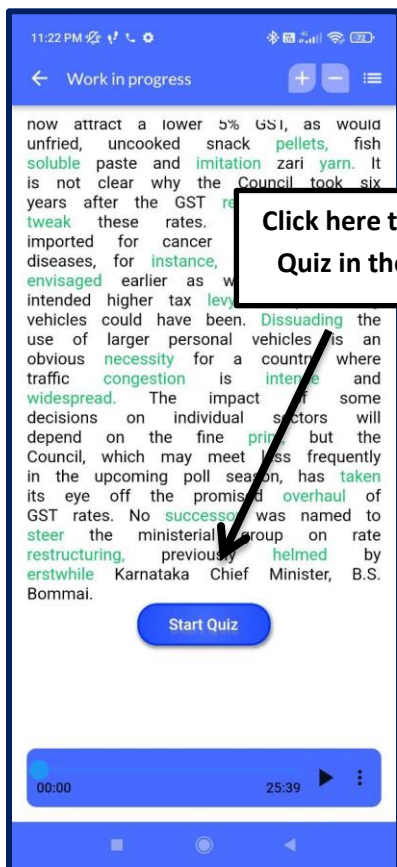
Video solution of Practice Exercise from this Editorial is exclusively available on App.



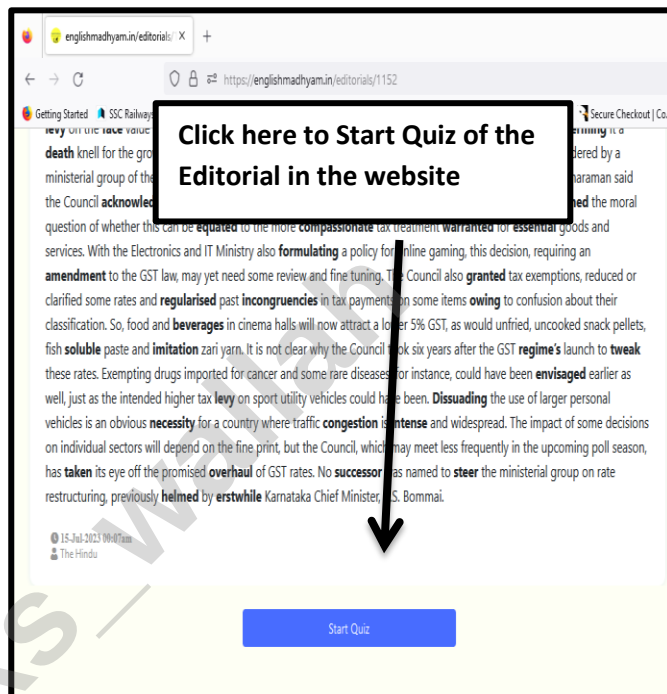
Summary of the Editorial

1. Retail inflation dropped to a 75-month low of 2.8% in May, largely due to easing food prices.
2. Wholesale inflation also declined to 0.4%, the lowest in over a year.
3. A key factor behind this fall was a 12.4% contraction in crude oil and natural gas prices.
4. Global oversupply and a slowing world economy caused oil prices to decline in the months before May.
5. Since India imports around 80% of its oil, falling global prices reduced wholesale inflation.
6. The RBI revised its inflation forecast downward to 3.7%, from its April projection of 4%.
7. Some analysts predict June's retail inflation could fall as low as 2%, the lower limit of the RBI's comfort zone.
8. Earlier expectations were that inflation would continue to ease steadily.
9. However, new geopolitical tensions, particularly Israel's attack on Iran, disrupted these forecasts.
10. Oil prices spiked 8% in one day after the June 13 attack, raising concerns about supply disruptions.
11. A potential blockade of the Strait of Hormuz could hike shipping costs by 40%-50%, affecting India's oil supply.
12. The Commerce Ministry is planning meetings with trade and shipping sectors to address these issues.
13. Higher oil prices may again lead to increased input costs, pushing inflation upward.
14. While the monsoon has resumed, past experiences show that uneven rainfall can still harm agriculture and food prices.
15. The RBI's shift to a neutral stance in its last policy meeting proved wise, as monetary policy must remain flexible in today's volatile global environment.

Practice Exercise: Banking Pattern Based



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